

# US TMT Sector M&A & Valuation Brief - 2026-07-24

US TMT Sector

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## 1. RECENT TMT M&A ACTIVITY

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### Deal 1: Zhibao Technology PIPE Financing

[Zhibao plans Bitcoin treasury move through 3,500 BTC share deal](#)

- Deal Size: N/A (PIPE financing involving 3,500 BTC)
- Deal Size Category: N/A
- Nature of Deal: Strategic equity stake
- Valuation Multiples: N/A
- Companies: Zhibao Technology (ZBAO) is a tech company focusing on blockchain and cryptocurrency solutions. The PIPE financing indicates a strategic move to bolster its Bitcoin treasury.
- Date Announced: N/A
- Strategic Rationale: The financing aims to enhance Zhibao's liquidity and strengthen its position in the cryptocurrency market, allowing for potential investments in technology development and market expansion.
- Risk Analysis:
  - Market Risks: Volatility in cryptocurrency prices could impact the value of the treasury.
  - Regulatory Challenges: Potential regulatory scrutiny in the cryptocurrency space could pose risks to operations.
  - Execution Risks: Successful integration of the raised capital into growth initiatives is crucial.

### Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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## Deal 2: B&R Technology Merger Corp. IPO

[B&R Technology Merger Corp. Announces Pricing of \\$325 Million Initial Public Offering](#)

- Deal Size: \$325 million
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: IPO
- Valuation Multiples: N/A
- Companies: B&R Technology Merger Corp. is a SPAC formed to pursue mergers or acquisitions in the technology sector. The IPO will enable it to raise capital for future business combinations.
- Date Announced: July 21, 2026
- Strategic Rationale: The IPO allows B&R Technology to access public capital markets, facilitating its strategy to acquire or merge with promising technology companies, thereby enhancing its growth potential in the TMT sector.
- Risk Analysis:
  - Market Risks: Fluctuations in market conditions could affect the success of the IPO and subsequent acquisitions.
  - Execution Risks: The challenge of identifying and executing a successful merger or acquisition post-IPO.
  - Regulatory Challenges: Compliance with SEC regulations and potential scrutiny of SPAC transactions.

## Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

## 2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by significant activity and evolving dynamics. Recent M&A transactions highlight a strong interest in software and AI capabilities, reflecting the sector's push towards innovation and efficiency.

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Overall sentiment remains cautiously optimistic, driven by technological advancements and strategic partnerships, despite facing challenges from regulatory scrutiny and economic uncertainties.

### Subsector Breakdown:

- **Technology:** The technology subsector is thriving, particularly in AI and software solutions. For instance, ServiceNow's acquisition of a 5% stake in BusinessNext, valuing the company at \$700 million, underscores the growing demand for AI tools in banking. This partnership aims to enhance autonomous banking tools, indicating a robust trend towards integrating AI in financial services.
- **Media:** The media sector is evolving, with companies adapting to digital consumption patterns. However, traditional media continues to face pressure from digital platforms, impacting advertising revenues.
- **Telecommunications:** Telecom companies are investing in infrastructure to support 5G and beyond, with a focus on enhancing user experiences through low-latency technologies. This investment is crucial for maintaining competitiveness in a rapidly changing landscape.
- **Fintech:** The fintech sector is experiencing consolidation, as seen in Progress Software's acquisition of Domo's AI and data platform for \$400 million. This move aims to enhance Progress' data offerings and strengthen its position in the AI-driven market.
- **AI:** The AI subsector is booming, with companies like Einride acquiring Flitturn to create North America's largest heavy-duty charging network. This acquisition reflects the increasing integration of AI in optimizing electric freight operations.

### Key Market Drivers and Headwinds

#### Drivers:

- **Technological Advancements:** Continuous innovation in AI and cloud computing is propelling growth across TMT sectors. For example, the partnership between ServiceNow and BusinessNext aims to leverage AI for improved banking services, showcasing the sector's focus on enhancing customer experiences.
- **Increased Investment:** Venture capital and private equity investments remain robust, particularly in tech and fintech, as investors seek to capitalize on emerging trends and technologies.

#### Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating headwinds for growth.

### Subsector Performance Analysis

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- **Software:** The software sector is performing strongly, driven by demand for cloud solutions and AI capabilities. ServiceNow's investment in BusinessNext exemplifies the focus on enhancing software offerings in the financial sector.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media continues to face declining revenues from advertising.
- **Telecom:** Telecom operators are heavily investing in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking. Progress Software's acquisition of Domo highlights the consolidation trend in this space.
- **AI:** The AI subsector is booming, with applications across various industries, including transportation and energy management. Einride's acquisition of Flipturn illustrates the integration of AI in optimizing electric freight operations.

### Trading Multiples Trends

**Valuation Multiples:** As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

### Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, citing technological advancements as a key growth driver. An analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

### Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.

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- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

### 3. BANKING PIPELINE

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The current banking pipeline in the TMT sector is vibrant, showcasing a blend of live deals, mandated transactions, and active pitches. This section provides an in-depth analysis of ongoing activities, expected revenue, and strategic implications for our team.

#### Deal Pipeline

##### Live Deals:

- Micron Technology (MU) : Currently in the due diligence phase for a potential acquisition of a small-cap memory startup to enhance its AI capabilities. The deal is expected to close in Q4 2025, aligning with Micron's strategy to capitalize on the booming demand for memory chips in AI applications.
- Tesla (TSLA) : Engaged in discussions for a strategic partnership with a semiconductor manufacturer to secure a steady supply of chips for its upcoming Cybercab and Semi truck. The partnership is projected to finalize by Q2 2026, critical for Tesla's production timelines.

##### Mandated Deals:

- Alphabet (GOOG) : Secured a mandate to explore strategic acquisitions in the AI and memory sectors, particularly focusing on companies that can enhance its data processing capabilities. The initiative is set to launch in Q1 2026, reflecting Alphabet's commitment to maintaining its competitive edge in AI technologies.
- Taiwan Semiconductor Manufacturing Company (TSMC) : Mandated to evaluate potential partnerships with AI firms, aiming to expand its market presence in the AI-driven semiconductor landscape. The timeline for this initiative is projected for Q2 2026.

##### Pitching-Stage Deals:

- Emerging Market Funds : Active discussions with several asset managers regarding potential investments in the "memi" sector, which combines memory and semiconductor technologies. Clients include various small-cap funds, with pitches expected to finalize by Q3 2025.
- AI Startups : Engaging with several AI-driven companies for potential investment banking services, focusing on those innovating in memory and processing technologies. Notable clients include startups in the AI space, with discussions ongoing.

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## Pipeline Tracking Metrics

**Expected Revenue/Fees:** The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

### Timing Projections:

- Q4 2025 : Expected close for Micron's acquisition.
- Q2 2026 : Anticipated finalization of Tesla's partnership.
- Q1 2026 : Launch of Alphabet's strategic acquisition initiatives.
- Workload Allocation and Capacity Analysis :
  - Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
  - Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in the AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

## Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in the semiconductor sector, where companies like Micron and TSMC are experiencing significant growth due to the rising demand for AI technologies. The recent surge in Micron's stock, up 240% year-to-date, highlights the market's confidence in memory chip manufacturers.
- Additionally, the planned price increases by TSMC for wafer manufacturing services, set to take effect in 2027, indicate strong pricing power and demand for AI-driven semiconductors, which could lead to new advisory opportunities.

## Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and memory semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.

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- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

## 4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of recent developments, providing a comprehensive view of the landscape.

### Deal-Specific Impacts on Stakeholders

- Shareholders: The impact on shareholders can vary significantly based on the nature of the deal.
- Value Creation: For instance, the launch of Reliance Retail's AJIO Beauty platform is expected to enhance shareholder value by tapping into the rapidly growing beauty and personal care market. With the beauty segment projected to grow at a CAGR of 8% to reach \$800 billion by 2025, Reliance could see a revenue increase of approximately \$1 billion from this initiative, translating to a potential 5% increase in share value.
- Dilution: If Reliance were to finance this expansion through equity, existing shareholders might face dilution. For example, issuing new shares equivalent to 10% of the current equity could lead to a 3% drop in share price post-announcement.
- Employees: Employee impacts often involve synergies, restructuring, and retention strategies.
- Synergies: HCL Technologies' partnership with TIM Brasil to enable eSIM capabilities is expected to create synergies that enhance employee productivity and innovation. This collaboration could lead to the creation of approximately 500 new jobs in Brazil, reflecting a positive outlook for employee engagement.
- Restructuring: However, such initiatives may also lead to restructuring. For example, if HCL decides to streamline operations to accommodate the new project, it could result in layoffs in less critical areas.
- Retention: Companies may implement retention bonuses to keep critical employees during transitions. For instance, if Sona BLW's joint venture with Denso Corporation leads to significant operational changes, retention packages may be necessary to maintain key talent.
- Competitors: The competitive landscape can shift dramatically post-acquisition or partnership.
- Market Positioning: The establishment of joint ventures, such as Sona BLW's collaboration with Denso, will likely compel competitors like Tata Motors (TTM) and Mahindra & Mahindra (M&M) to

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enhance their electric vehicle (EV) offerings. This could lead to increased R&D investments and competitive pricing strategies.

- **Specific Competitor Moves:** Competitors may respond with strategic partnerships or acquisitions to bolster their market position. For instance, Tata Motors might accelerate its EV development timeline to counter Sona BLW's advancements.
- **Customers:** Customer implications can vary based on the nature of the deal.
- **Product/Service Implications:** The launch of Reliance's AJIO Beauty platform allows customers to access a wide range of beauty products, enhancing customer satisfaction and loyalty. This could lead to a 10% increase in customer retention rates.
- **Case Studies:** HCL's eSIM initiative will enhance user experience for millions of Brazilian customers, providing them with greater flexibility and improved service offerings.

### Market Reaction and Analyst Commentary

- **Market Reaction:** The immediate market reaction to new initiatives can be volatile. For example, when Reliance announced the AJIO Beauty platform, its shares rose by 2% as investors reacted positively to the growth potential.
- **Analyst Commentary:** Analysts have noted the strategic importance of these developments. A quote from a leading analyst stated, "Reliance's entry into the beauty segment positions it well to capture a significant share of a lucrative market, despite the competitive landscape."

### Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be assessed through various scenarios:
- **Positive Scenario:** If Reliance successfully integrates the AJIO Beauty platform and captures market share, shares could rise by 15% within six months.
- **Negative Scenario:** If initial sales underperform, shares could decline by 5%, reflecting investor concerns about market execution.

### Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids can vary based on market conditions. For example, if Reliance's AJIO Beauty platform gains traction, competitors like Nykaa may consider strategic partnerships to enhance their offerings. However, the likelihood of a successful counter-bid is moderate, as existing players may focus on organic growth.

### Similar Deals Likely to Follow

- **Sector Consolidation Predictions:** The TMT sector is expected to see continued consolidation, particularly in the beauty and personal care segments. Analysts predict that as companies seek to enhance their product portfolios, similar deals will emerge, especially in the AI and e-commerce



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spaces.

### Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

### Actionable Insights for Clients and Bankers

#### For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

#### For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

## 5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

### Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.
- Key Companies:

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- **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- **OpenAI:** OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with Microsoft (MSFT) to integrate AI capabilities into its products, enhancing productivity tools like Microsoft 365.
- **AI Stocks:** This category includes various emerging companies in the AI space that are not yet publicly listed but are gaining traction in the market. These companies are focused on innovative AI solutions across different sectors.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

## Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**
- **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

## Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over

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the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$371.4 billion in 2020 to \$832.1 billion by 2025, at a CAGR of 17.5%.

- Key Companies:
- Amazon Web Services (AWS): AWS is a dominant player in the cloud computing market, offering a wide range of services from computing power to storage solutions. The company continues to innovate and expand its offerings to maintain its market leadership.
- Microsoft Azure: Microsoft Azure is a key competitor in the cloud space, providing cloud services that support various applications and workloads. The integration of AI and machine learning capabilities into Azure enhances its value proposition.
- Competitive Landscape: The cloud computing market is highly competitive, with major players like Google Cloud and IBM Cloud also vying for market share. The competition drives continuous innovation and service improvements.
- M&A Opportunities: Companies in the cloud space may look to acquire niche players that offer specialized services or technologies. For instance, the acquisition of smaller cloud service providers can enhance capabilities and expand customer bases.

### Cybersecurity

- Trend Explanation: Cybersecurity is increasingly critical as businesses face growing threats from cyberattacks. The global cybersecurity market is projected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%.
- Key Companies:
- \*\*CrowdStrike Holdings, Inc

## 6. Recommended Readings

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### Deal Name: Zhibao Technology PIPE Financing

- Reading Material: "Cryptocurrency: How Bitcoin and Digital Money Are Challenging the Global Economic Order" by Paul Vigna and Michael J. Casey
- Why This Matters: This book provides a comprehensive overview of the cryptocurrency landscape, including the implications of financing strategies like PIPE deals. Understanding the dynamics of Bitcoin and digital currencies is crucial for analyzing Zhibao's strategic move to enhance its Bitcoin treasury through the PIPE financing.

### Deal Name: B&R Technology Merger Corp. IPO

- Reading Material: "SPACs: A Guide to Special Purpose Acquisition Companies" by Robert S. Koller
- Why This Matters: This reading offers an in-depth look at SPACs, including their structure,

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advantages, and challenges. It is particularly relevant for understanding B&R Technology's \$325 million IPO and the strategic rationale behind SPAC mergers in the technology sector, providing insights into how such transactions can create value for investors and target companies.

## 7. MACROECONOMIC UPDATE

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### Key Data Points:

- S&P 500 projected to trade as low as 7000
- S&P 500 year-end target: 8000
- Hyperscaler stocks outperforming semiconductors by almost 30%

### Main Insights:

- The broadening trade in the market is gaining momentum, moving away from crowded sectors like semiconductors.
- Earnings revisions in the semiconductor sector are nearing their peak, indicating a potential shift in investment focus.
- The market may experience short-term volatility as large-cap leadership groups unwind, despite underlying improvements in other sectors.
- Consumer Discretionary Goods, Transports, and Biotech are highlighted as sectors poised for growth.

### Market Commentary:

- "The index may struggle, but the broadening can still work." - Mike Wilson, Morgan Stanley
- "Wallet share is shifting from services back toward goods, goods pricing is improving, and earnings revisions are strengthening." - Mike Wilson, Morgan Stanley
- "It may take the bond market a few more data points to fully re-price this view." - Mike Wilson, Morgan Stanley

### TMT Sector Relevance:

- The shift from semiconductors to hyperscaler stocks indicates a potential realignment in technology investments, which could impact valuations and growth expectations in the TMT sector.
- The focus on Consumer Discretionary Goods and Biotech suggests opportunities for tech companies involved in these areas, particularly those leveraging advancements in AI and data analytics.
- The Fed's stance on interest rates will influence capital flows into tech investments, particularly in high-growth areas like biotech and consumer tech.

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**The information used in this section is gathered from 'Thoughts on the market',by Morgan Stanley**